

AMERICAN FORK CITY COUNCIL
AUGUST 23, 2022
TRUTH IN TAXATION PUBLIC HEARING

American Fork City Council held a public hearing on Tuesday, August 23, 2022, in the American Fork City Hall, 31 North Church Street, commencing at 7:00 p.m.

Members Present:

Bradley J. Frost	Mayor
Staci Carroll	Council Member
Ryan Hunter	Council Member
Clark Taylor	Council Member
Rob Shelton	Council Member
Kevin Barnes	Council Member

Staff Present:

David Bunker	City Administrator
Camden Bird	Community Services Director
Patrick O'Brien	Development Services Director
Rebecca Andrus	City Engineer
Stephanie Finau	Deputy Recorder
Cameron Paul	Police Chief
Aaron Brems	Fire Chief
George Schade	IT Director
Cherylyn Egner	Legal Counsel
Anna Montoya	Finance Director

Also present: Stan Street, Cary Fife, Ernie John, Larry M. Gordon, Rod Mitani, Don Rich, Paul Johnson, Ken Sumsion, Eileen, Steve Smith, Jacki Roberts, Reese Abel, Brian Poulson, Mark Surreal, George Brown, Bruce Martin, Trevor Martin, Tim Holley, Rex Shelton, John Butler, Nellie Hampton, and Reed Shelley.

Mayor Frost stated this was a public hearing and noted the council is here to take input from the citizens on the proposed tax increase. The city has a proposed tax rate, but it could change. He wanted the public to know the council wants to hear from the citizens and will take what is said at tonight's meeting into consideration when they make the final decision. Mayor Frost stated the actual vote will happen next week on August 30th in a city council meeting at 7:00 p.m. He then turned the time over to David Bunker for his presentation.

Mr. Bunker went over the process on what the city goes through in order to determine what the tax rate will be. In February, the council begins the process with a budget workshop where the council and staff go over the budget, look at forecasts for the next few years, and then work on setting priorities. The city then takes the discussion from the workshop and incorporates that into the discussions on how the city will fund those priorities. He noted there are several budget meetings held where each fund of the budget is dissected and taken apart and evaluated in its entirety before being put back together to get a balanced budget.

Mr. Bunker continued that a budget open house was held in May on the proposed budget. Each December, the city sends out a citizen survey where the residents are asked questions on the performance of the city and what priorities they feel the city should focus on. These priorities are presented to the council at the February workshop. The city is required to adopt a tentative budget in May and then in June a final budget is adopted. The County sends a notice to the city letting the city know what the certified tax rate will be, which if adopted does not require a truth in taxation public hearing. Mr. Bunker further explained that as property values increase, the certified tax rate decreases. The average home will pay the same amount of taxes to the city unless the city council decides to raise taxes, which is the only way the city receives extra money in the general fund. As home values go up, up goes the certified tax rate goes down and that yields the same amount of tax revenue each year on an average per home. New homes constructed in the year also pay their share of the tax.

Mr. Bunker went on to state that the city council can accept the certified tax rate, or they can propose a different tax rate. If the new tax rate is higher than the county's certified tax rate the city must go through what's called *Truth in Taxation* and this public hearing is part of that process. This allows our city to adopt a new rate with the input of the citizens. He noted the city has not gone through a Truth in Taxation since 2008, which means the city was collecting the same amount of dollars, but the purchasing power has decreased due to inflation.

Mr. Bunker explained why the city would consider a tax increase. There have been increases in public safety services and the cost of road improvements that are driving the need for additional revenue. As the general fund expenses grows over time, the value of the dollar and what can be done with that dollar decreases due to inflation and the city had less revenue to provide the same level of service. The demand for police services has risen 46.6% in the past five years, and fire/rescue service costs have risen 69%. As a side note, Mr. Bunker stated Station 51 was the busiest fire station in Utah County. The cost of street construction materials has increased 17.5% in the last year alone, and since 2010 road construction costs have increased an astounding 44%. In other words, the city can do less road improvements today with the same amount of dollars that we could have done in 2008.

Mr. Bunker stated that without additional revenue, the city will go backwards in the level of service. When the city proposes an increase to the city's certified tax rate, it only adjusts the city rate and not the entire tax levy. Mr. Bunker explained the tax notices list multiple agencies who tax property, such as Alpine School District and Utah County. Since 2012, the city's certified tax rate has dropped from .002532 down to .001094. In the last ten years, the drop is due to increase in home values which decreases the tax rate to yield the same amount of dollars to the city during that period

Mr. Bunker stated the city has proposed a tax rate increase from .0001094 to .0001554. On a median home value of \$474,000, which is the statistic that the county gave to the city, would equal \$9.99/month or \$119.92/year. This represents a 40% change in our general fund revenues, but only represents a 4% increase in the *total* tax bill. The city has been very careful and held taxes low for many years from a tax perspective. However, it limits the city's ability to provide essential services such as public safety and road improvements. Mr. Bunker read and answered some of the comments from that survey.

- *The city has increased the number of residencies and therefore the units collected upon have also increased. So how does that reflect in the city's budget?* He explained it was

true there is a growth component to the city taxes, but city services have to be extended to those new homes as well. We are providing those services to those new homes at 2008 dollars that puts us further in the hole.

- *In a recent mailer sent to the city, it states the last time the city raised taxes was in 2008.* This is untrue, the city last raises taxes each year by revaluing home values. It is true that homes get reassessed by the county every year, but again as the home values increase our tax rate decreases yielding the same dollar to the city time and time again.
- *Please provide an accounting of all funds received and spent for the past decade.* Mr. Bunker explained the city posts all the financials on the city website in a very transparent manner. When the city adopts a budget, that is posted on the website www.americanfork.gov.
- *Why are you doing this now when things are getting so expensive.* The city understands things are getting expensive and it is a difficult time for residents because costs are going up for them. However, the city is feeling the same pressure of increased costs, which means the level of service will have to decrease if the revenue stream is not adjusted.
- *What have you done to avoid this property tax increase?* Mr. Bunker explained that every year the city goes through the budget process in detail to look at every line item to look for ways to get more effective and efficient. He noted the city does seek after grants and recently received close to \$10 million in grants to help us with our costs. An example would be the state legislature mandating cities go to pressurized irrigation metering; those meters are very expensive, so the city applied and received grants from the Bureau of Reclamation to help with costs.

Mr. Bunker stated some city departments have not increased personnel for decades. The city is growing, and we still have to provide services to all the residents. There have been additional personnel specifically in public safety, due to large call volumes. The city has also absorbed costs from different entities rather than passing that on the residents. An example was the North Point Service Solid Waste district had an increase, but the city chose to absorb that cost. Additionally, the city decided not to do a utility rate increase in an effort to control costs. The city tried to be effective and efficient each year.

Mayor Frost thanked Mr. Bunker for his presentation and announced that he will call each person by the order he received their public comment application and asked them to state their name before commenting.

1. Ernie John explained that when they started the pressurized irrigation plans in the early 2000s, one of the things they had to do was look at the culinary water. He stated that the city had done a great job of controlling costs up until that time. It was found that the culinary water rates were barely paying the costs of delivery, with no money being saved to cover costs of repairs. If there was a major repair, it had to come out of the General Fund. Mr. John stated that one way to look at it was we were keeping costs low and the other is we will be kicking the can down the road. Mr. John stated they cannot keep putting things off and expressed that he was in favor of the tax increase so it will cost more down the road. He commented that as the costs have risen (especially our public service), the city cannot afford to lose personnel. The cost to do business has risen and was being put on the back of the city employees, especially public safety. Residents expect and demand a level

of service and to continue that level of service, they need to support this tax increase. Mr. John stated he was in favor of the tax increase.

2. Stan Street commented that he had worked 40 years in the fire department. He reported that he remembered back when everyone would have to come from home to fight a fire. At that time, they would only have 2-3 fires a month. Now, the city had more than that in a day. The police are overwhelmed. The roads department needed funds for the roads. He expressed that he is for the tax increase because they need the money to help the community out. He understands that some residents don't want a tax increase, but it was something they needed to do.
3. Larry Gordon stated Mr. Bunker answered a lot of questions that he had. He reported that flyer the city sent out in the mail is a little deceptive. It said it was 4%, but the note he got from the county assessment it was 36% and then to find out tonight that it is 40%. He felt that people don't understand it and the numbers aren't right. He felt that the \$10 was the only thing that was correct. He stated that personally he felt that it wasn't a 4% increase it was more 6%-7%. He was concerned about was the 40% rate increase and felt that there should have been little increases over the years instead of getting dumped on them with a huge rate increase. He mentioned that the school district is going up a lot this year, and for most of the residents the property tax is going up \$500 to \$600. He commented that he didn't understand why it was going up 40% and asked what changes the city will have to make this year that the city can spread over the next 5 years.
4. Rod Matani expressed his appreciation for the use of Veterans Hall to Mayor Frost. He mentioned he had talked to Council Member Taylor who had explained a lot of things to him. He wanted to look at the root cause that is causing the increase. He mentioned that he is not opposed to a tax increase but felt that the city needs to figure out what is the root cause of it. He knew that inflation and escalation over the years added to the tax increase and how Mr. Bunker mentioned the .72 cents on the dollar. In his opinion, he felt it needs to be passed on to the developers and building permits. He added that the city is grown, more high-density housing going up. The streets are in poor conditions and the developers that are digging up the streets need to fix it. They should have the inspectors do a better job in making sure that they patch it up better than it was before. Mr. Matani spoke of his mom being on a fixed income and mentioned the elderly that are also on fixed incomes can't absorb the increase. He thought the city needs to do a phasing approach for the elderly and not slam them with a tax increase because of their fixed incomes.
5. Cary Fife reported that he has lived in American Fork since 2006. He asked why American Fork is allowing so many apartment complexes (high-density) when the roads are already bad. He added that for every apartment there will be 2 cars and renters don't pay property taxes, only residents that own property do. He wondered why the city allows so much growth so quickly. He questioned if the city gives incentives to the builders, and if so, he wanted to know why, how much, and what incentives are given to them. He felt that it was only fair for the residents to know this. He mentioned his wife that passed away last year, and he is living on fixed income. His taxes on his property is \$700 more this year. He asked how he is supposed to afford that. He questioned why the builders and developers not paying their fair share of taxes.

He added that his house sits on 1100 East and traffic has increased five times the amount it

used to be, which made it so his house would not sell. He has complained numerous times to the police department because drivers don't stop at the top of the hill where the church is and drive past his house going 65 mph or more and the police has not done anything about it. Lastly, he expressed that the taxes should not be on burden of the property owners. He mentioned wanting information about the developers because of the "Right to Know Act".

Mayor Frost replied that Mr. Fife deserves a call back and that he would reach out to Mr. Fife about his concern. Mayor Frost explained that this is a public comment and that there will not be a discourse or reply from him or the council due to the fact they don't have the information about Mr. Fife's situation in front of them. Mayor Frost did mention that he has no knowledge of incentives given to developers in this city.

6. Don Rich expressed that he is in favor of proposed tax. He mentioned that he is also a retired firefighter. He spoke about public safety and how it is the most essential service that the city provides to the residents. He felt comfort in knowing that when he picks up the phone to call for help, there will be an ambulance, fire truck or police officer that is professionally trained, well equipped, and responsive within a matter of minutes. He mentioned the cost of equipment and retention of good employees and to compensate those employees once retained is very important. We need to pay these employees to stay and essential to keep the staffing up in this community. Mr. Rich expressed whole heartedly as a resident he supports the tax increase.
7. Paul Johnston reported he agrees with some of the things been said tonight. He mentioned that one of the issues he has is that the revenue must have increased substantially over the last couple years. He talked about building costs, and how the city imposes impact fees on new homes being built and that the developers are the ones that pay for the roads, curb/gutter. Mr. Johnston wanted to know where those Impact Fees go to. Another question he asked was, how much money does the city have right now in reserves set aside for a rainy day. He stated he's not in favor of the tax increase. He mentioned the fire house being built for \$8.5 million is too elaborate. He mentioned his fixed income and how the \$10 more a month is his ice cream budget and he doesn't want to give that up
8. Ken Sumsion reported that it would be nice for the city make some nice graphs or charts that help citizens understand the money and where it comes from. He added that the city has had a lot of growth since 2007. He asked to be able to see a graph that shows the growth and property tax revenue from 2007 to today, so it can help him see the big picture that the council sees. He mentioned that Council Member Shelton had come to his neighbor's home, and they spent time talking with him. Mr. Sumsion praised Council Member Shelton after having talked to him. He mentioned their discussions about fiber optic and how Council Member Shelton disclosed to him about the property tax increase, the budget, how the city has maxed out the emergency funds according to state requirements and how the tax revenue did much better during the COVID year. Mr. Sumsion felt the revenue is good right now and would love to see where the Impact fees go and by project how it is spent from year to year. He suggested it can be put on a mailer and sent to the residents. He stated that \$30 million through RDA the new growth should pay for that and don't add \$35 million for fiber optic, the city doesn't need it, just go through private services that can provide what residents want and not add on more debt. city doesn't know. He expressed that 40% shows bad management and said they should do

small tax raises every year. He expressed appreciation the work the council does and knows it is not easy.

9. Eileen Miller commented that she is with the Utah Home Builders Association and a 9th generation of American Fork. She spoke to Camden Bird about his latest report on how it was a wonderful read showing all the projects over time. She explained that her job with the home builder is to go over every city's IFA and budget to see how Impact Fees are assessed. She stated that she just finished a chart that compares the cities. She mentioned she was with the state senate for 20 years, and she too can read the budget. She added that the state just passed two pieces of legislative from this past session because some cities were doing inappropriate things. She explained the 60/40 theory: 60% are the residents that the homes are being built for and 40% is people coming in as influx, which is mostly people who cannot afford homes which then leads to high-density housing. She stated that the Impact Fees have changed because they now stay with the building department. She explained that the state auditors sent out notices to all the cities on what the money can be spent on. A lot of it is because inspections have not been on done due to not enough of inspectors. She mentioned a video that shows city administrators how the city should use their funds. It does not go into the general fund.
10. Steve Smith reported that he lives on 100 East and came tonight thinking he would have some ill feelings. Fortunately, Mr. Bunker explained it so well that it made his concerns melt away. He asked if some of that money can go for a new hydrant in on a 100 East, which hasn't worked for about 6 years. He mentioned if the city gets new police officers, send them to 100 East because people are driving 50 to 60 mph. He thanked the council and stated he supports the increase and noted he's on a fixed income.
11. Jackie Roberts reported that she has lived in American Fork for over 40 years. She stated that her property taxes are going up \$450, which is a lot of money. She mentioned that on the news it said it costs \$700 more to live now compared to what it was 2 years ago. Everything keeps adding up, but her retirement isn't going up. She is concerned with all the buildings. She lives south of Fox Hollow golf course and people are speeding every night on that road. She noted that she has never seen any improvements on 200 East. She stated that she knows that things need to get fixed and would like the city to come up with a better rate. She understood the need for the increase and was in between about the tax increase, but she is not willing to pay more either.
12. Reese Abel reported that he has in American Fork for 25 years. He stated how renters do pay property taxes in their rent paid to the property owner. He expressed that 36% is excessive and would say no to a drastic increase, but he does understand that there needs to be some type of increase. He stated that going forward the city needs to be wiser and raise taxes yearly along the way instead of waiting 14 years. It comes back to the issue that if \$1 back in 2008 is only worth .72 cents today, he figured that the proposed increase would equal about what it was in 2008. He asked why the city hasn't increased taxes a little each year to keep up with inflation and commented it now feels like they are paying to catch up. He stated that going forward the city needs to be wiser and raise taxes yearly along the way instead throwing a big increase to the residents.
13. Brian Poulsen reported he is a brand-new transplant from Southern Utah and expressed how flabbergasted he is by the tax rate in Utah County. He compared his previous city that

he lived in to American Fork. Their tax rate was .0007 compared to American Fork which is .0012 within the last year and looking at the increase it's the total of what Southern Utah city rate was. He mentioned that he compares a lot to his previous city, such as the roads, the parks, and the sidewalks and wanted to understand where all the money is going. He expressed he's not against the tax increase, but if the city can look at it and see maybe they are doing something wrong.

14. Mark Surreal reported that he is standing up on behalf of Veterans. He asked the council who thought property tax was a good idea to take money from their property. It is Theft. He expressed that the city should redistribute that money to go to fund free education for all the children. He added that the Council needs to protect the life, liberty and property for the residents and to think of them and not pass this tax increase.
15. George Brown addressed the mayor and council and stated that our country has a inflation problem. He felt that the important things for the city to focus on is water, sewer, public safety, and roads. Other things are important but are not essential. He asked the city where they need to cut back and expressed that he is opposed to tax increase.
16. Bruce Frandsen commented that he has lived in this community for over 6 decades. He added that it's tempting to compare our city to other cities, but it doesn't matter where you live you will always find a thing to complain about your local government. He referred to Mr. Bunker about what he stated about the tax rate multiple times, and it takes time to understand that it's a challenging issue. He stated that the city has some of the best police and fireman that can be found and that is crucial for the community. He knows when he fills out the questionnaire that the residents get, he knows when it says we need better roads and public safety it is going to cost him something. He said when he sees a 30" waterline going through the road, that the Impact Fees are being used and it's paid for by the people living in that new development. He expressed that personally, he is for the tax increase.
17. Trevor Martin commented that he came to get a better understanding of the neighborhood and has been in the city for a year now. He felt that there needs to be a paradigm shift and that 40% is excessive; it is not addressing the root cause of what the problem is. He expressed that he commutes to Draper every day and fiber optics is something he'd be interested in his career path and is willing to pay for that. He stated that it will attract young people and younger crowd that can provide for the people already living here. Everyone lives on their phone and computers and fiber is important for the future of the city. He expressed that the city accesses these kinds of topics and fix things but look at all areas by shaking things up and changing things.
18. Tim Holley expressed that he felt Mr. Bunker explained a lot about the tax increase and appreciated that. He asked the if there is going to be some type of breakout that he will be able to see where they money is going to, like public safety and basic infrastructure, and how it is broken down. He also asked if the rate will not change or if it was going to increase to the 40%, to which Mayor Frost replied that there is some flexibility. Mr. Holley stated that with the inflation, he's making cuts on spending and looking to where he needs to tighten his budget and the city can show good faith by spending money on safety, infrastructure, and education. He felt it would be nice if the city would also cut back on things also. He mentioned that the city spends about \$3000 per year/per resident, where other cities spend about \$1800/per resident and there are significant spending issues on the

city level. He asked how the city can be more proactive versus of reactive. He expressed that going forward, maybe every 5 years do a 10% increase instead of 40% increase.

19. Rex Shelton addressed that council and mayor and commented that he doesn't know where he stands tonight after the presentation by Mr. Bunker. He stated that when he gets a flyer in the mail that brags about 14 years that the city has not increased taxes, that bothers him. When there is planning meetings and there is buildings that are going on all over and the city doesn't increase their taxes. He felt that a 2% to 4% increase should have been happening instead of being forced with a 40% increase. He expressed that the city should know with the growth increase, why have they left the decision to the county about the tax increase.
20. John Butler who has lived in the city over 2 years expressed his appreciation to the council for what they are doing. He added that one thing that would help him get a better understanding and control over his own budget is the pressurized irrigation system. When he moved here, he was shocked to see how much it costs and finding out that he will have no control over that. He did express that he's glad there is some efforts happening with PI. He mentioned he would feel better if he knew that something was happening and being implemented so he could take control of his budget and pay his fair share.
21. Nellie Hampton commented that she lived in the city all her life. She expressed appreciation for the council of all they go through. She stated that her dad served on the city council years ago. She added that when she heard about the budget increase is mostly for public safety, she is all for that, but she does not understand the 40% increase. She mentioned she is on a fixed income and how hard they worked for their retirement but because of the increase she had to get a job. She felt that the tax increase should've have been done in small increments instead of waiting years and hitting them with a high-rate tax increase. She is against the tax increase and felt the flyer was so misleading. She stated that the tax increase will force people out of retirement, move out of their homes and they can't enjoy their home and retirement.
22. Reed Shelley reported that the city has done a good job of holding on to and absorbing cost when increased has happened. His big concern is 40% increase and how it will affect fixed income residents. He suggested to track the budget closer and do it year by year.

Council Member Shelton express that he appreciated all the comments that were made. He loves to meet with any resident who has any questions or concerns. He referred to Mr. Mitani's concern on what is the root cause. Council Member Shelton stated that the city suffers from a serious disease of saving itself broke. He gave examples of water projects and road bonds that get turned down and how later it will cost more if it's not fixed. He felt that there are some things the council can do better and that there are ways of looking at doing things differently. He mentioned that the biggest sleeping giant in the city is deferred maintenance on infrastructure, noting if they wait it will cost more later. He added that the best way to save the city from going broke and saving the roads is service the life of roads over the next 12 years. He added that he's grateful that the discussion this year about the tax increase and is willing to talk to anyone about any questions or concerns that they may have.

Mayor Frost vouched that they have elected officials that care for the community and all kind of people, from the fixed income to the affluent income. As a council, they will ponder on

everything said tonight and take it into consideration. He stated that the Council does care for the residents and the communities. He mentioned that the city cannot continue to provide public safety in the manner the city has done in the past. He thanked everyone who was here tonight and happy to engage with the residents.

The public hearing adjourned at 8:25 p.m.



Stephanie Finau
Deputy Recorder